

Alumex PLC

Interim Report



1

First Quarter

Three Months Ended 30th June, 2020

Income Statements

For the period ended 30th June, 2020

<u>Consolidated</u>		<u>Company</u>	<u>Consolidated</u>			<u>Company</u>		
Audited year ended 31.03.20 Rs.'000	Audited year ended 31.03.20 Rs.'000		Unaudited 3 months to 30.06.20 Rs.'000	Unaudited 3 months to 30.06.19 Rs.'000	Change %	Unaudited 3 months to 30.06.20 Rs.'000	Unaudited 3 months to 30.06.19 Rs.'000	Change %
4,729,950	4,351,891	Revenue	886,655	1,030,952	(14)	820,001	932,360	(12)
(3,727,898)	(3,480,974)	Cost of sales	(726,165)	(850,641)	(15)	(683,038)	(786,883)	(13)
1,002,052	870,917	Gross profit	160,490	180,311	(11)	136,963	145,477	(6)
27,599	24,482	Other income	5,675	3,197	78	5,675	3,197	78
(252,403)	(245,005)	Distribution expenses	(35,361)	(47,548)	(26)	(34,415)	(46,032)	(25)
(316,659)	(295,981)	Administrative expenses	(76,640)	(81,975)	(7)	(73,431)	(71,111)	3
460,589	354,413	Results from operating activities	54,164	53,985	0	34,791	31,531	10
15,946	15,117	Finance Income	6,323	3,138	>100	6,083	2,988	>100
(409,648)	(412,137)	Finance Costs	(80,957)	(111,979)	(28)	(85,724)	(109,125)	(21)
(393,702)	(397,020)	Net finance costs	(74,634)	(108,842)	(31)	(79,641)	(106,138)	(25)
66,887	(42,607)	Profit before tax	(20,471)	(54,857)	(63)	(44,849)	(74,606)	(40)
(36,038)	(12,590)	Tax (expense)/Reversal	6,987	15,058	(54)	11,331	19,421	(42)
30,849	(55,197)	Profit for the period	(13,483)	(39,799)	(66)	(33,518)	(55,186)	(39)
30,849		Attributable to: Owners of the Company	(13,483)	(39,799)		(33,518)	(55,186)	
0.10	(0.18)	Earnings per share Basic earnings per share (Rs.)	(0.05)	(0.13)		(0.11)	(0.18)	

Statements of Comprehensive Income

<u>Consolidated</u>		<u>Company</u>	<u>Consolidated</u>			<u>Consolidated</u>		
Audited year ended 31.03.20 Rs.'000	Audited year ended 31.03.20 Rs.'000		Unaudited 12 months to 30.06.20 Rs.'000	Unaudited 12 months to 30.06.19 Rs.'000	Change %	Unaudited 3 months to 30.06.20 Rs.'000	Unaudited 3 months to 30.06.19 Rs.'000	Change %
30,849	(55,197)	Profit for the Period	(13,483)	(39,799)	(66)	(33,518)	(55,186)	(39)
Other Comprehensive Income								
6,021	5,418	Actuarial gains / (losses) on defined benefit plans	-	-		-	-	-
(1,638)	(1,517)	Income tax effect on actuarial gains / (losses)	-	-		-	-	-
-	-	Revaluation of land	-	-		-	-	-
-	-	Income tax effect on revaluation surplus	-	-		-	-	-
4,383	3,901	Other comprehensive income for the period, net of tax	-	-		-	-	-
35,232	(51,296)	Total comprehensive income for the period, net of tax	(13,483)	(39,799)	(66)	(33,518)	(55,186)	(39)
35,232		Attributable to Owners of the parent	(13,483)	(39,799)		(33,518)	(55,186)	

Statements of Financial Position

Consolidated	Company		Consolidated	Company
Audited	Audited		Unaudited	Unaudited
as at	as at		as at	as at
31.03.20	31.03.20		30.06.19	30.06.19
Rs.'000	Rs.'000	Notes	Rs.'000	Rs.'000
ASSETS				
Non - current assets				
3,687,270	3,485,837	Property, plant & equipment	3,656,427	3,761,895
45,820	45,820	Right of use asset/Lease Asset	27,549	50,316
72,009	72,009	Intangible assets	71,170	58,523
-	30,000	Investments in subsidiaries	-	30,000
3,805,099	3,633,666	Total non-current assets	3,755,146	3,870,733
Current assets				
1,845,542	1,684,732	Inventories	1,664,243	1,839,454
930,439	774,052	Trade and other receivables	1,029,958	987,490
92,713	90,198	Advances and prepayments	59,161	75,190
51,234	51,234	Income tax recoverable	45,463	45,923
72,644	70,728	Cash & cash equivalents	168,384	80,097
2,992,572	2,670,944	Total current assets	2,967,210	3,028,154
6,797,671	6,304,610	Total assets	6,722,356	6,898,887
EQUITY AND LIABILITIES				
283,735	283,735	Stated capital	283,735	283,735
228,056	228,056	Capital reserves	228,056	228,056
578,964	546,551	Other components of equity	577,643	582,928
1,291,091	617,213	Revenue reserves	1,278,927	1,218,777
2,381,846	1,675,555	Total equity attributable to owners of the parent	2,368,361	2,313,496
-	-	Non- controlling interest	-	-
2,381,846	1,675,555	Total Equity	2,368,361	2,313,496
Non - current liabilities				
1,353,950	1,353,950	Interest bearing borrowings	1,297,062	1,066,875
33,039	33,039	Non Current Portion of Lease Liabilities	27,398	30,272
125,285	111,225	Employee benefit obligations	129,806	115,436
241,977	241,868	Deferred tax liability	223,541	226,509
1,754,251	1,740,082	Total non-current liabilities	1,677,808	1,439,092
Current liabilities				
880,844	1,153,744	Trade and other payables	702,700	1,001,100
727,900	727,900	Current portion of long term interest bearing borrowings	727,900	527,500
23,698	23,698	Current Portion of Lease Liability	14,465	21,067
1,015,769	972,909	Short-term interest bearing borrowings	1,210,471	1,573,416
906	791	Other current financial liabilities	2,085	3,230
11,624	9,931	Provisions	12,053	9,244
833	-	Income tax payable	6,512	10,742
2,661,574	2,888,973	Total current liabilities	2,676,186	3,146,299
4,415,825	4,629,055	Total liabilities	4,353,994	4,585,391
6,797,671	6,304,610	Total equity and liabilities	6,722,356	6,898,887

The Financial Position as at 30th June, 2020 and Income Statements, Statements of Comprehensive Income, Changes in Equity and Cash Flow for the three months then ended are drawn up from the unaudited financial statements of the Company, its Subsidiaries and they provide the information required by the Colombo Stock Exchange.

It is certified that the Financial Statements have been prepared in compliance with the requirements of the Companies Act no 7 of 2007 .

Sgd

R P P K Rajapaksha

Director / Chief Financial Officer

Signed for and on behalf of the Board

Sgd

A M Pandithage

Chairman

04th August 2020

Sgd

D W P N Dediwela

Managing Director

Statements of Changes in Equity

For the period ended 30th June, 2020

Consolidated

	Attributable to owners of the parent					
	Stated capital	Capital reserve	Revaluation reserve	Retained earnings	Shareholders' Funds	Total Equity
	Rs. '000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance as at 1st at April, 2020	283,735	228,056	578,964	1,291,090	2,381,846	2,381,846
Profit for the period	-	-	-	(13,483)	(13,483)	(13,483)
Other Comprehensive income						
Actuarial gains / (losses) on defined benefit plans	-	-	-	-	-	-
Income tax effect on actuarial gains / (losses)	-	-	-	-	-	-
Revaluation of land	-	-	-	-	-	-
Total other comprehensive income	-	-	-	-	-	-
Total Comprehensive income for the period	-	-	-	(13,483)	(13,483)	(13,483)
Transactions with owners, recorded directly in equity						
Dividends to equity holders	-	-	-	-	-	-
Recovery for the period	-	-	-	-	-	-
Transfers	-	-	(1,321)	1,321	-	-
Total contributions by and distributions to owners	-	-	(1,321)	1,321	-	-
Balance as at 30th June 2020	283,735	228,056	577,643	1,278,927	2,368,361	2,368,361
Balance as at 1st at April, 2019	283,735	228,056	584,249	1,257,255	2,353,295	2,353,295
Profit for the period	-	-	-	(39,799)	(39,799)	(39,799)
Other Comprehensive income						
Actuarial gains / (losses) on defined benefit plans	-	-	-	-	-	-
Income tax effect on actuarial gains / (losses)	-	-	-	-	-	-
Total other comprehensive income	-	-	-	-	-	-
Total Comprehensive income for the period	-	-	-	(39,799)	(39,799)	(39,799)
Transactions with owners, recorded directly in equity						
Dividends to equity holders	-	-	-	-	-	-
Recovery for the period	-	-	-	-	-	-
Transfers	-	-	(1,321)	1,321	-	-
Total contributions by and distributions to owners	-	-	(1,321)	1,321	-	-
Balance as at 30th June 2020	283,735	228,056	582,928	1,218,777	2,313,496	2,313,496

Statements of Changes in Equity

For the period ended 30th June, 2020

Company

	Stated capital	Capital reserve	Revaluation reserve	Retained earnings	Total
	Rs. '000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance as at 1st at April, 2019	283,735	228,056	546,551	617,213	1,675,555
Profit for the period	-	-	-	(33,518)	(33,518)
Other Comprehensive income					-
Actuarial gains / (losses) on defined benefit plans	-	-	-	-	-
Income tax effect on actuarial gains / (losses)	-	-	-	-	-
Revaluation of land	-	-	-	-	-
Total other comprehensive income	-	-	-	-	-
Total Comprehensive income for the period	-	-	-	(33,518)	(33,518)
Transactions with owners, recorded directly in equity					
Dividends to equity holders	-	-	-	-	-
Transfers	-	-	(1,321)	1,321	-
Total contributions by and distributions to owners	-	-	(1,321)	1,321	-
Balance as at 30th June 2020	283,735	228,056	545,230	585,016	1,642,037
Balance as at 1st at April, 2019	283,735	228,056	551,836	669,911	1,733,538
Profit for the period	-	-	-	(55,186)	(55,186)
Other Comprehensive income					-
Actuarial gains / (losses) on defined benefit plans	-	-	-	-	-
Income tax effect on actuarial gains / (losses)	-	-	-	-	-
Total other comprehensive income	-	-	-	-	-
Total Comprehensive income for the period	-	-	-	(55,186)	(55,186)
Transactions with owners, recorded directly in equity					
Dividends to equity holders	-	-	-	-	-
Transfers	-	-	(1,321)	1,321	-
Total contributions by and distributions to owners	-	-	(1,321)	1,320	-
Balance as at 30th June 2020	283,735	228,056	550,515	616,046	1,678,352

Cash Flow Statements

For the period ended 30th June, 2020

Consolidated		Company				
Audited	Audited		Consolidated		Company	
as at	as at		Unaudited	Unaudited	Unaudited	unaudited
31.03.20	31.03.20		3 months to	3 months to	3 months to	3 months to
Rs.'000	Rs.'000		30.06.20	30.06.19	30.06.20	30.06.19
			Rs.'000	Rs.'000	Rs.'000	Rs.'000
66,887	(42,607)	Cash Flows from Operating Activities				
		Profit before taxation	(20,471)	(54,857)	(44,849)	(74,606)
		Adjustments for,				
355,819	366,825	Finance cost	83,366	100,898	88,439	99,403
(5,449)	(4,849)	Finance income	(312)	(1,064)	(300)	(915)
27,003	24,213	Provision for gratuity	5,528	4,750	5,039	4,210
-	-	(Profit)/ loss on disposal of property, plant and equipment	(1,364)	-	(1,364)	-
23,167	15,909	Provision for bad debts	13,769	16,382	14,181	9,408
249,491	235,285	Depreciation and amortisation	59,228	50,487	55,748	54,298
716,918	594,776	Operating profit before working capital changes	139,745	116,595	116,894	91,799
10,025	(89,842)	(Increase)/ decrease in inventories	181,299	16,115	156,334	(37,030)
75,700	50,752	(Increase)/ decrease in trade and other receivables	(98,283)	73,253	(128,718)	47,134
(3,504)	(56,578)	(Increase)/ decrease in advances and prepayments	33,588	(5,825)	40,203	(5,971)
(219,300)	73,148	Increase/ (decrease) in trade and other payables	(191,576)	(99,099)	(145,563)	27,518
579,839	572,256	Cash generated from operating activities	64,772	101,040	39,149	123,449
(347,901)	(358,908)	Finance cost paid	(81,567)	(99,197)	(86,640)	(97,702)
(36,852)	-	Income tax paid	-	(12,345)	-	-
(7,463)	(6,862)	Retirement benefit liability paid	(1,006)	(1,078)	(884)	(1,078)
187,623	206,486	Net cash from operating activities	(17,801)	(11,581)	(48,376)	24,668
		Cash Flows from Investing Activities				
(156,160)	(144,526)	Acquisition of property, plant and equipment	(22,514)	(36,893)	(22,506)	(36,446)
-	-	Proceeds from sale of property, plant and equipment	-	-	-	-
-	-	Net Proceeds from short term investments	-	-	-	-
5,449	4,849	Finance income received	312	1,064	300	915
(150,711)	(139,677)	Net cash flows used in investing activities	(22,202)	(35,828)	(22,206)	(35,531)
		Cash Flows from Financing Activities				
(644,400)	(644,400)	Repayment of interest bearing loans and borrowings	(70,679)	(131,875)	(70,679)	(131,875)
(28,196)	(28,196)	Lease Rental Paid	(2,072)	(6,595)	(2,072)	(6,595)
1,000,000	1,000,000	Proceeds from interest bearing loans and borrowings	13,792	-	13,792	-
(44,896)	(44,896)	Dividend paid	-	(44,895)	-	(44,895)
282,508	282,508	Net cash flows from/ (used in) financing activities	(58,959)	(183,365)	(58,959)	(183,365)
319,420	349,317	Net Increase/ (decrease) In cash and cash equivalents	(98,963)	(230,774)	(129,542)	(194,228)
(1,262,545)	(1,251,499)	Cash and cash equivalents at the beginning of the year	(943,123)	(1,262,545)	(902,182)	(1,251,499)
(943,125)	(902,182)	Cash and cash equivalents at end of the period	(1,042,086)	(1,493,319)	(1,031,724)	(1,445,727)
		Analysis of Cash & Cash Equivalents				
72,644	70,728	Cash in Hand and at Bank	168,384	80,097	154,219	73,950
(1,015,769)	(972,910)	Short-term interest bearing borrowings	(1,210,471)	(1,573,416)	(1,185,942)	(1,519,678)
(943,125)	(902,182)	Cash and cash equivalents at end of the period	(1,042,086)	(1,493,319)	(1,031,724)	(1,445,727)

Notes to the Financial Statements

- 1 The Interim Condensed Financial Statements have been prepared in compliance with Sri Lanka Accounting Standard LKAS 34- Interim Financial Reporting. These interim condensed financial statements should be read in conjunction with the annual financial statements for the year ended 31st March 2020.

The accounting policies adopted in the preparation of the Interim Condensed Consolidated Financial Statements are consistent with those followed in the preparation of the Annual Consolidated Financial Statements for the year ended 31st March 2020

The Interim Condensed Financial Statements also provide information required by the Colombo Stock Exchange.

- 2 No circumstances have arisen since the reporting date, which would require adjustments to or disclosure in the financial statements.
- 3 Basic Earning Per Share is calculated by dividing the net profit for the period attributable to ordinary shareholders by the weighted average number of shares outstanding during the period

<u>Consolidated</u>		<u>Consolidated</u>	
Audited		Unaudited	Unaudited
as at		as at	as at
31.03.20		30.06.20	30.06.19
<u>Rs.'000</u>		<u>Rs.'000</u>	<u>Rs.'000</u>
30,849	Profit for the Period	(13,483)	(39,799)
299,302,840	Weighted Average No. of Shares	299,302,840	299,302,840
0.10	Earning Per share	(0.05)	(0.13)

4 STATED CAPITAL

Audited		Unaudited	Unaudited
as at		as at	as at
31.03.20		30.06.20	30.06.19
<u>Rs.'000</u>		<u>Rs.'000</u>	<u>Rs.'000</u>
Issued and fully paid			
283,735	299,302,840 Ordinary Shares	283,735	283,735

- 5 During the period there were no material changes in the composition of assets, liabilities and contingent liabilities and there is no seasonality and cyclicity affecting the interim operation.
- 6 Previous year's figures and phrases have been re-arranged wherever necessary to conform to current year presentation.

Investor Information

MARKET VALUE OF SHARES

The market value of an ordinary share of Alumex PLC was as follows:

	30.06.2020	30.06.2019
	Rs.	Rs.
Closing price on	11.60	10.00
Highest price recorded for the three months ending	12.00	10.30
Lowest price recorded for the three months ending	6.00	8.50
Market capitalisation (Rs. Mn.)	3,472	2,993

RATIOS

	30.06.2020	30.06.2019
Net assets per share	7.91	7.73
Price earnings ratio (times) (Annualised)	(64.37)	(18.80)
Return on Equity	-2.30%	-7.12%
Return on Assets	-0.80%	-2.31%
Current Ratio	1.11	0.96
Gearing	57.74%	57.79%

SHARE TRADING FROM 1ST APRIL, 2020 TO 30TH JUNE, 2020

No. of transactions	1,445
No. of shares traded	2,755,433
Value of shares traded (Rs.)	26,033,572

Investor Information

FIRST TWENTY SHAREHOLDERS AS AT 30 JUNE 2020

	Name of the Shareholder	No.of Shares	%
1	Hayleys PLC	157,413,032	52.59
2	Akbar Brothers Pvt Ltd A/C No.1	40,617,782	13.57
3	Rosewood (Pvt) Ltd - Account No.01	29,340,300	9.80
4	Dean Foster (Pvt) Ltd A/C No.1	14,213,900	4.75
5	Mr.D.W.P.N.Dediwela	10,669,200	3.56
6	Sampath Bank PLC/Dr.T.Senthilvel	2,208,041	0.74
	Dr.T.Senthilvel	1,179,775	0.39
7	Mrs.G. I. Vasunthara	2,150,000	0.72
8	Ceylon Investment PLC A/C No.1	1,352,489	0.45
9	Mr.T.H.D.I.U.Thrimanne	1,081,040	0.36
10	Insite Holdings (Pvt) Ltd	1,000,000	0.33
	Mr.K.D.H.Perera	1,000,000	0.33
11	Mrs. Vasudevan Saraswathi	883,521	0.30
12	Hatton National Bank PLC A/C No.4 (HNB Retirement Pension Fund)	858,230	0.29
13	Arunodhaya Industries (Private) Limited	850,000	0.28
14	Merchant Bank of Sri Lanka and Finance PLC/K.K. Wickramasinghe	820,000	0.27
15	Arunodhaya Investments (Private) Limited	760,000	0.25
16	Arunodhaya (Private) Limited	750,000	0.25
17	Commercial Bank of Ceylon PLC A/C No.01	714,200	0.24
18	Mr.S.J.Hirdaramani	714,200	0.24
19	Mr.K.N.J.Balendra	622,365	0.21
20	Seylan Bank PLC/J. A. Wijeratne	620,000	0.21
	Total	269,818,075	90.15

There were no non voting shares as at 30 June 2020

PUBLIC HOLDING

Percentage of public holding as at 30.06.2020 15.54%

Total number of shareholders representing the public holding 2,690

Flot-adjusted market capitalization Rs.539,683,689.60

The Company complies with option 2 of the Listing Rules 7.13.1 (b) – Less than Rs.1 Bn Float Adjusted Market Capitalization which requires 10% minimum Public Holding.

DIRECTORS' SHAREHOLDINGS AS AT 30 JUNE 2020

Directors' holdings of ordinary shares in the Company were as follows

Name of Director	No.of Shares
Mr.A.M.Pandithage	10,000
Mr.D.W.P.N.Dediwela	10,669,200
Mr.S.C.Ganegoda	102,939
Mr.R.P.Pathirana	243,949
Mr.S.Munaweera	20,000
Mr.R.P.P.K. Rajapaksha	19,907
Mr.T.Akbarally (Alt. Director to Mr.A.A.Akbarally)	100,000
Total	11,165,995

Corporate Information

NAME OF COMPANY

Alumex PLC
(A limited Liability company, incorporated in Sri Lanka in 2007)

COMPANY NUMBER

PV 539 PQ

STOCK EXCHANGE LISTING

The ordinary shares of the Company are listed with the Colombo Stock Exchange of Sri Lanka on 31 March 2014

REGISTERED OFFICE

Pattiwila Road,
Sapugaskanda, Makola,
Sri Lanka
Telephone: +94 11 240 0332
Facsimile: +94 11 240 0415
Website: www.alumexgroup.com

DIRECTORS

A M Pandithage – Chairman
D W P N Dediwela -Managing Director
S C Ganegoda
R P Pathirana
A A Akbarally
Dr.H.Cabral, PC
S Munaweera
R P P K Rajapaksha
A J Hirdaramani (Alternate Director to R P Pathirana)
T Akbarally (Alternate Director to A A Akbarally)

AUDIT COMMITTEE

S Munaweera - Chairman
Dr.H.Cabral, PC
R P Pathirana

REMUNERATION COMMITTEE

Dr.H.Cabral, PC – Chairman
S Munaweera

SUBSIDIARY COMPANIES

Alco Industries (Pvt) Ltd

AUDITORS

Ernst & Young
Chartered Accountants
No. 201, De Seram Place
Colombo 10, Sri Lanka

INVESTOR RELATIONS

Please contact Corporate Affairs Unit
Telephone: +94 11 262 7610
E-mail: info@cau.hayleys.com

SECRETARIES

Hayleys Group Services (Private) Limited
400, Deans Road, Colombo 10, Sri Lanka
Telephone: +94 11 262 7650
Facsimile: +94 11 262 7645
E-mail: info.sec@hayleys.com

Please direct any queries about the administration of shareholdings to the Company Secretaries

BANKERS

Commercial Bank of Ceylon PLC
Foreign Branch
Commercial House, NO 21, Sir Razik Fareed Mawatha
Colombo 01, Sri Lanka

Sampath Bank PLC
Head Office,
No. 110, Sir James Peiris Mawatha
Colombo 02, Sri Lanka

Bank of Ceylon
Personal Branch
2nd Floor, Head Office
No. 04, Bank of Ceylon Mawatha
Colombo 01, Sri Lanka

Hatton National Bank PLC
Head office, No. 479, T. B. Jayah Mawatha
Colombo 10, Sri Lanka

DFCC Bank PLC
No. 73, W A D Ramanayake Mawatha
Colombo 02, Sri Lanka

Standard Chartered Bank
37 York Street
Colombo 1

People's Bank
Head Office, No.75, Sir Chittampalam A Gardiner Mawatha
Colombo 02

Nation Trust Bank PLC
No.256,Srimath Ramanathan Mawatha
Colombo 15